RESEARCH REPORT

The resilience premium

How European mid-caps outperformed through the 2023–25 slowdown

October 2026 Northwind Institute

Your Company

Contents

	Executive summary	3
01	What sets resilient companies apart	5
02	A playbook for the next downturn	8

Executive summary

Resilient mid-caps delivered a total shareholder return premium of 7.4 percentage points a year through the slowdown. They were not luckier; they moved earlier, cut deeper and reinvested faster.

KEY FINDINGS

1 **Resilience pays.**
The 18% of companies we classify as resilient outperformed peers by 7.4 pp TSR a year.

2 **Speed matters more than size.**
Acting in the first two quarters doubled the odds of recovery.

3 **Leaders cut and invested at the same time.**
64% protected R&D while cutting overhead by more than 10%.

4 **The premium persists.**
Five years later, resilient companies still trade at a 1.4x multiple premium.

Across the 1,200 companies in our sample, speed of response explains more of the gap between leaders and laggards than any other factor. Leaders reinvested a larger share of their savings, moved earlier, and kept a tighter link between strategy and budget.

The pattern holds across sectors and regions, although the size of the effect varies. Companies that acted in the first year of a downturn recovered faster and captured more share when demand returned.

Across the 1,200 companies in our sample, reallocation explains more of the gap between leaders and laggards than any other factor. Leaders reinvested a larger share of their savings, moved earlier, and kept a tighter link between strategy and budget.

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The study in numbers

1,200
European mid-caps analysed, 2015–25

+7.4 pp
Annual TSR premium of resilient companies

18%
of companies qualify as 'resilient'

2.1x
Faster recovery to pre-downturn EBITDA

Based on financial data for 1,200 listed European companies with revenue of €0.5–5bn, 2015–25. Resilience is defined by revenue and EBITDA development through the 2023–25 slowdown relative to sector peers.

1

What sets resilient companies apart

Resilient companies prepared before the downturn, moved early when it came and kept investing in growth throughout.

Across the 1,200 companies in our sample, preparation explains more of the gap between leaders and laggards than any other factor. Leaders reinvested a larger share of their savings, moved earlier, and kept a tighter link between strategy and budget.

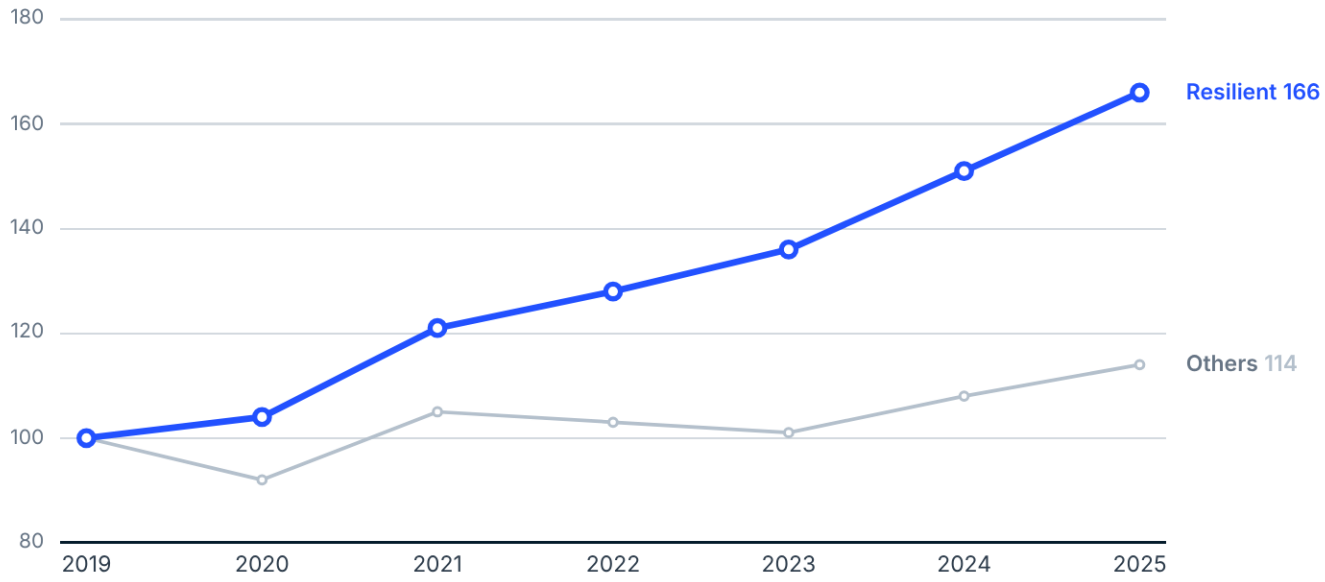
The pattern holds across sectors and regions, although the size of the effect varies. Companies that acted in the first year of a downturn recovered faster and captured more share when demand returned.

Resilient companies pulled away within two years

EXHIBIT 1

Resilient companies have outperformed by 52 index points since 2019

Total shareholder return, index 2019 = 100



Source: Northwind Institute mid-cap database (illustrative)

A widening gap

Across the 1,200 companies in our sample, the timing of the response explains more of the gap between leaders and laggards than any other factor. Leaders reinvested a larger share of their savings, moved earlier, and kept a tighter link between strategy and budget.

The pattern holds across sectors and regions, although the size of the effect varies. Companies that acted in the first year of a downturn recovered faster and captured more share when demand returned.

Not just a sector story

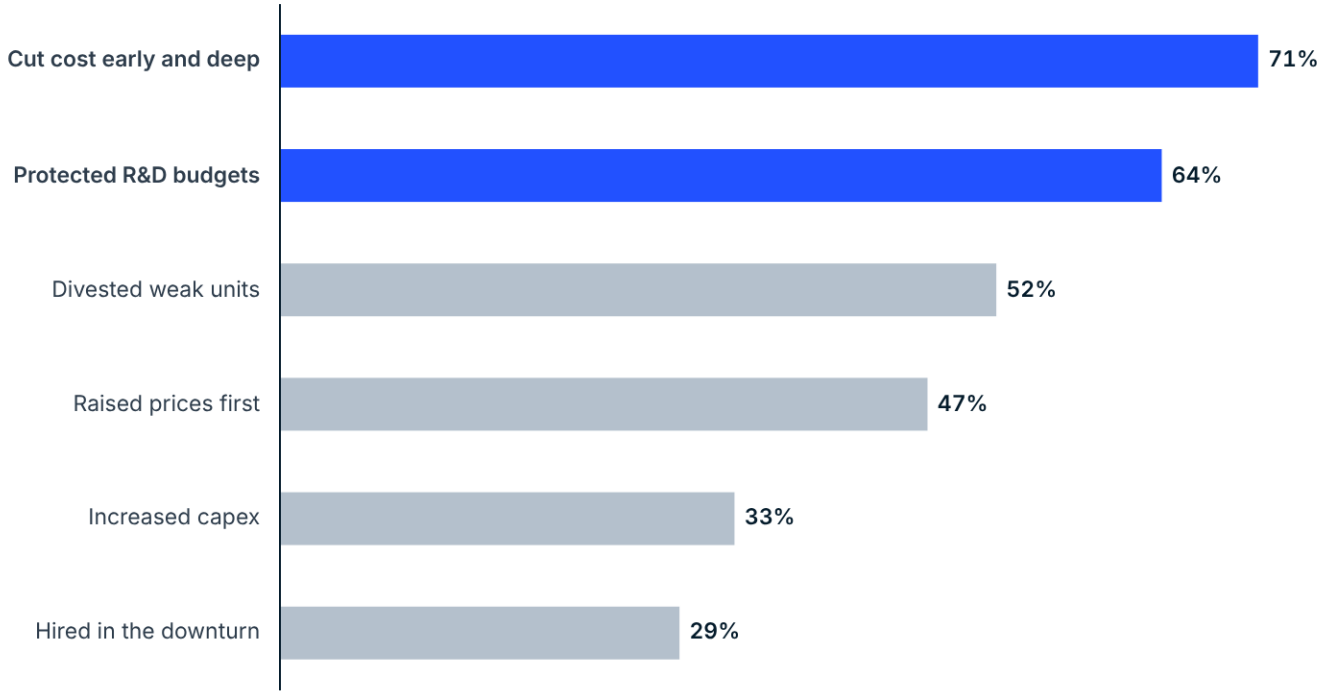
Across the 1,200 companies in our sample, sector mix explains more of the gap between leaders and laggards than any other factor. Leaders reinvested a larger share of their savings, moved earlier, and kept a tighter link between strategy and budget.

The pattern holds across sectors and regions, although the size of the effect varies. Companies that acted in the first year of a downturn recovered faster and captured more share when demand returned.

EXHIBIT 2

Cutting cost early and protecting R&D were the most common moves among resilient companies

Share of resilient companies using each lever, %



Source: Northwind Institute survey of 240 executives (illustrative)

Across the 1,200 companies in our sample, early cost action explains more of the gap between leaders and laggards than any other factor. Leaders reinvested a larger share of their savings, moved earlier, and kept a tighter link between strategy and budget.

The pattern holds across sectors and regions, although the size of the effect varies. Companies that acted in the first year of a downturn recovered faster and captured more share when demand returned.

Across the 1,200 companies in our sample, protecting R&D explains more of the gap between leaders and laggards than any other factor. Leaders reinvested a larger share of their savings, moved earlier, and kept a tighter link between strategy and budget.

The pattern holds across sectors and regions, although the size of the effect varies. Companies that acted in the first year of a downturn recovered faster and captured more share when demand returned.

[1] Multiple answers possible

2

A playbook for the next downturn

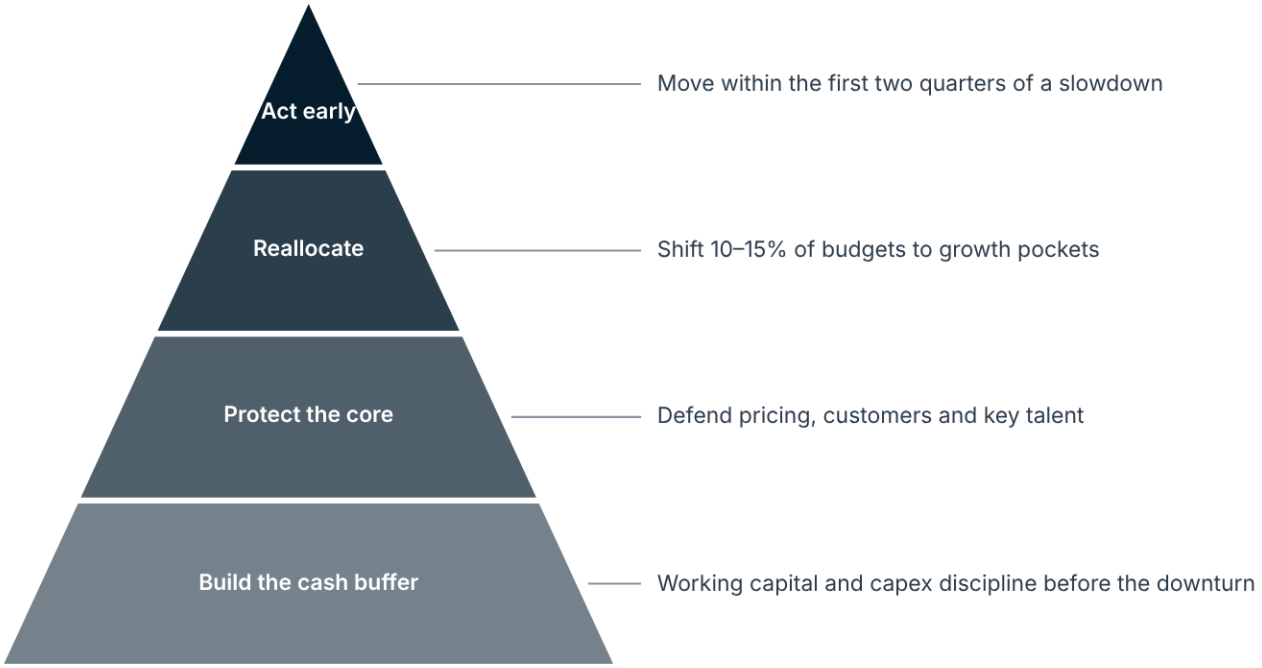
Four moves, in order, separate the companies that recover fastest.

Four moves, in order

EXHIBIT 3

Resilience is built before the downturn and exploited during it

The resilience playbook



Source: Northwind Institute

Across the 1,200 companies in our sample, sequencing explains more of the gap between leaders and laggards than any other factor. Leaders reinvested a larger share of their savings, moved earlier, and kept a tighter link between strategy and budget.

The pattern holds across sectors and regions, although the size of the effect varies. Companies that acted in the first year of a downturn recovered faster and captured more share when demand returned.

Across the 1,200 companies in our sample, governance explains more of the gap between leaders and laggards than any other factor. Leaders reinvested a larger share of their savings, moved earlier, and kept a tighter link between strategy and budget.

The pattern holds across sectors and regions, although the size of the effect varies. Companies that acted in the first year of a downturn recovered faster and captured more share when demand returned.

Every sector has resilient leaders

Technology and industrials have the highest share of resilient companies, but the premium is positive in every sector.

EXHIBIT 4

The resilience premium is positive in all six sectors

Resilient share of companies and annual TSR premium, 2019–25

Sector	Companies	Resilient share	TSR premium
Industrials	310	21%	+8.2 pp
Consumer	240	15%	+6.1 pp
Technology	180	24%	+9.7 pp
Healthcare	150	19%	+5.4 pp
Materials	170	12%	+4.9 pp
Services	150	16%	+6.6 pp
All sectors	**1200**	**18%**	+7.4 pp

Source: Northwind Institute mid-cap database (illustrative)

Across the 1,200 companies in our sample, sector differences explains more of the gap between leaders and laggards than any other factor. Leaders reinvested a larger share of their savings, moved earlier, and kept a tighter link between strategy and budget.

The pattern holds across sectors and regions, although the size of the effect varies. Companies that acted in the first year of a downturn recovered faster and captured more share when demand returned.

Methodology

Resilient companies grew revenue and EBITDA faster than the sector median in both 2023 and 2024 and recovered pre-downturn EBITDA by 2025.

Your Company

About the Northwind Institute

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